

A Proven Path

In the ten years or so that I've been a serious investor in foreign stocks, I've followed the same philosophy and approach that shape my domestic-stock portfolios. I want the same above-average growth at a reasonable price, with the growth story supported by a long-term theme. Growth is best assured, offshore as on, by domination of a niche. I look for companies like Modern Photo Film, whose niche is filled by its exclusive license to make and sell Fuji film and cameras in Indonesia. And I have concentrated on small companies, though if you want to invest in some emerging markets, you are forced to choose from the few large companies that constitute the public market.

One of the great attractions of foreign stocks is that investing in small companies overseas now is like doing it here twenty-five years ago. I used to play a game on the brokers who came to our offices. I would hand the visitor our latest quarterly report and ask him to identify what businesses the companies in the portfolio were in. If he could recognize half of the names, I considered him well informed. Today the percentage recognized would be far higher. It's tough to find small companies in the U.S. that aren't followed to some degree by at least a regional firm, and the companies themselves are now accustomed to media releases and conference calls. Everyone hears any news within seconds, so it is extremely difficult to gain an information edge. But in many countries abroad the idea of telling investors anything is a new idea.

But once foreigners do start talking, they are often more open and candid than American corporate executives. The American is acutely aware of the implications of anything he says. Will he be disclosing something the SEC will say is inside information that he should have broadcast to the whole world? Might candid statements hurt his stock and, thereby, his personal net worth, much of which is tied up in stock options? The overseas manager is consid-